

Please check the examination details below before entering your candidate information		
Candidate surname	Other names	
Centre Number	Candidate Number	
Pearson Edexcel Level 3 GCE		Paper reference 9EB0/03
Predicted June 2026 Morning (Time: 2 hours)		
Economics B Advanced PAPER 3: The economic environment and business		
You must have: Insert (enclosed)		Total Marks

PREDICTED PRACTICE PAPER — MODERATE

Pre-release context for this paper: competitiveness, pricing strategies and the consumer market

Instructions

- Use **black** ink or ball-point pen.
- **Fill in the boxes** at the top of this page with your name, centre number and candidate number.
- Answer **all** questions.
- Answer the questions in the spaces provided — *there may be more space than you need.*

Information

- The total mark for this paper is **100**.
- The marks for **each** question are shown in brackets — *use this as a guide as to how much time to spend on each question.*
- Calculators may be used.

Advice

- Read each question carefully before you start to answer it.
- Try to answer every question.
- Check your answers if you have time at the end.

Answer ALL questions.

SECTION A

Read the following extracts (A to D) before answering the question.

Write your answers in the spaces provided.

Extract A

The UK coffee shop market

The UK branded coffee shop market continued its long-term expansion through 2024, with industry estimates placing the number of outlets at just over 10,800. The sector is dominated by three main chains — Costa Coffee, Starbucks and Pret A Manger — which together account for more than half of branded outlets. A long tail of independent and regional coffee shops makes up the remainder and has grown steadily since the pandemic.

Barriers to entry into the branded segment are substantial: a typical new Costa store costs over £250,000 to fit out, and lease commitments of 10–15 years are common on high-street premises. Chains compete on price, quality of coffee, speed of service, ambience, digital loyalty apps and plant-based milk options.

(Source: adapted from industry press, 2024)

Extract B

Global coffee bean prices

Global arabica and robusta prices reached multi-decade highs during 2024. A combination of drought in Brazil — which produces around 40% of the world's arabica — and poor harvests in Vietnam squeezed global supply. Industry analysts reported that the wholesale price of arabica roughly doubled during the 12 months to November 2024. While large buyers hedge exposure using futures markets, independent and smaller chain operators face the full impact of spot price movements within weeks.

(Source: adapted from commodity market reports, 2024)

Month	Jan-23	Jul-23	Jan-24	Jul-24	Nov-24
Price (\$/lb)	1.68	1.58	1.82	2.36	3.12

Figure 1: Monthly arabica coffee futures price, \$ per pound (indicative, 2023–2024)

Extract C

Cost pressures and consumer spending

UK CPI inflation fell to 2.3% in April 2024, close to the Bank of England's 2% target, before drifting back up to 2.6% by November 2024 as services inflation proved sticky. Real household disposable income rose modestly during 2024 after two years of decline, but consumer confidence remained cautious.

A recent survey by a hospitality trade body reported that 38% of UK adults said they were buying coffee from cafés less often than a year earlier, with 'making coffee at home' the most-cited substitute. Sales of home coffee machines through UK retailers grew by an estimated 14% year-on-year.

(Source: adapted from ONS / trade body data, 2024)

Extract D

The external costs of disposable coffee cups

Around 2.5 billion disposable coffee cups are used in the UK each year. The plastic polyethylene lining used to make paper cups waterproof means the vast majority cannot be recycled through standard paper facilities; fewer than 1 in 400 are actually recycled.

Costa, Starbucks and Pret each offer a discount (typically 25p–50p) for customers who bring reusable cups, though uptake is generally estimated at under 5% of transactions. Critics of a proposed 25p 'latte levy' argue that it is regressive and that the main cost should fall on producers rather than consumers. Supporters argue the externality is under-priced and that a behavioural 'nudge' is required.

(Source: adapted from Environmental Audit Committee submissions)

Indicator	2020	2021	2022	2023	2024
Number of branded outlets (000s)	9.2	9.4	9.8	10.4	10.8
Average cup price — latte (p)	2.95	3.10	3.35	3.65	3.95
Sector revenue (£bn)	3.0	3.9	4.7	5.2	5.6
National Living Wage (£/hr, 223+)	8.91	9.50	10.42	11.44	

Figure 2: Selected UK coffee shop indicators, 2020–2024

Predicted practice paper — produced for revision only; not an official Pearson / Edexcel document.

$$\frac{d}{dt} \left(\frac{\partial L}{\partial \dot{x}} \right) = \frac{\partial L}{\partial x} \quad (10)$$
0EB0/03 — Predicted QP (Moderate)

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(Total for Question 1 = 50 marks)
TOTAL FOR SECTION A = 50 MARKS

Answer ALL questions.

SECTION B

Read the following extracts (E to H) before answering the question.

Write your answers in the spaces provided.

Extract E

Tesco plc — business overview

Tesco plc is the UK's largest grocery retailer, operating over 4,000 stores across the UK and Republic of Ireland. Its UK grocery market share stood at 27.9% in the 12 weeks to October 2024, its highest level for a decade. The group also operates the Booker wholesale business and a growing online grocery platform delivering to around 1.5 million households per week.

Tesco's stated corporate purpose is to 'serve our customers, communities and planet a little better every day'. The firm has set a target of net-zero UK emissions by 2035 across its own operations.

(Source: adapted from Tesco plc Annual Report 2023/24)

Extract F

Competition from discounters

German discounters Aldi and Lidl together held approximately 18% of the UK grocery market in 2024, up from 12% in 2019. Their growth has been driven by a limited product range, low cost own-brand lines and highly efficient store layouts. In response, Tesco's 'Aldi Price Match' campaign — introduced in 2020 — now covers over 700 everyday lines whose price is guaranteed to match the discounters.

Tesco has extended its 'Clubcard Prices' loyalty scheme, giving members access to prices up to a third below standard shelf prices on around 8,000 products. Critics argue this creates two-tier pricing; supporters point to retention benefits of over 20 million active Clubcard households.

(Source: adapted from Kantar Worldpanel, 2024)

Extract G

Wage costs and the labour market

The UK National Living Wage rose to £11.44 per hour for workers aged 21 and over from April 2024, a 9.8% increase on the previous year. UK unemployment stood at 4.3%, and vacancies in retail and hospitality remained elevated, forcing employers to raise pay above statutory minima to attract staff.

In September 2024, Tesco increased the minimum hourly rate for UK store colleagues to £12.02 per hour. Including London weighting, pension contributions and a colleague discount, Tesco estimates that its total reward package for hourly-paid colleagues is worth in excess of £14 per hour.

(Source: adapted from HM Treasury and Tesco plc, 2024)

Extract H

Selected Tesco financial data

The table below reports selected financial data for Tesco plc's 52-week year ending February 2024.

	2021/22	2022/23	2023/24
Group sales (excl. VAT)	54,768	57,656	61,475
Adjusted operating profit	2,645	2,630	2,830
Operating profit margin (%)	4.83	4.56	4.60

	2021/22	2022/23	2023/24
UK like-for-like sales growth (%)	2.5	7.2	6.8
UK grocery market share (%)	27.1	27.0	27.6
Dividend per share (pence)	10.90	10.90	12.10

Figure 3: Tesco plc selected financial data (£m unless stated)

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(d) Evaluate the extent to which Tesco's future financial performance depends on macroeconomic conditions in the UK rather than on decisions taken by the firm's own management.

(20)

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(Total for Question 2 = 50 marks)

TOTAL FOR SECTION B = 50 MARKS

TOTAL FOR PAPER = 100 MARKS

END OF PAPER

INSERT — Pre-release Context

Do not return this Booklet with the question paper.

Investigating the Economic Environment and Business

Context

This year the context is **competitiveness, pricing and the consumer market**. You should think about how firms compete on price and non-price strategies in crowded consumer markets, and how macroeconomic conditions (inflation, real wages, consumer confidence) shape the demand facing these firms.

Research

To prepare for this year's context, you should research:

- how firms in competitive consumer markets differentiate themselves
- the role of loyalty schemes and price-matching in retailing
- how cost pressures (input prices, wages) affect firms' operating margins
- the case for and against government intervention to correct externalities
- how macroeconomic conditions influence the demand for consumer goods.

You **cannot** take any of your research or investigation data carried out as part of the pre-release into the examination.